

Public Provident Fund (PPF)

>>THE OLD FAITHFUL

Maximum limit Rs 70,000

This is everybody's favourite tax-saving option. The PPF offers tax exemption on the invested amount; there's no tax on the interest earned; and even withdrawals are tax-free. Most importantly, it is a government-sponsored scheme and is, therefore, completely safe.

The other huge attraction of the PPF is that you can take a loan from the account in the third year or make partial withdrawals after the sixth year. The loan can be up to 25 per cent of the balance in the account and has to be repaid in not more than 36 EMIS.

However, don't go overboard while investing in PPF. In the long run, its returns will never be able to match the phenomenal potential of an equity-based option.



ADVANTAGES

- Completely safe.
- 8% assured returns.
- Income is tax-free.
- Contribution is flexible.



DRAWBACKS

- Returns lower than prevailing FD rates.
- Withdrawals limited.
- Locks up capital for the long term.



BEST SUITED FOR

- Risk-averse investors, self-employed professionals and those not covered by the EPF.

Housing Loan and School Fees

>>REDUCES THE COST OF THE LOAN

Maximum limit Rs 1 lakh

The principal portion of a home loan EMI is eligible for deduction under Section 80C. So, even if you don't have surplus money to invest, your home loan repayment ensures that you don't lose out on Section 80C benefits. If both spouses work, it may be a good idea to take a joint loan. That way, both co-owners can separately claim the tax benefits available on the home loan.

The school fees you pay for your child's education is also a tax saving tool. Up to Rs 1 lakh paid in tuition fee for up to two children gets you the same tax benefits as any investment under the Section 80C. But play schools, foreign universities and private coaching classes do not count.

Five-year Fixed Deposits

>>RETURNS ARE HIGH, BUT TAXABLE

Maximum limit Rs 1 lakh

Banks are crying themselves hoarse with offers of attractive rates of interest on fixed deposits. At 9 per cent, the returns offered are higher than what your PPF contribution earns. But the income earned on the fixed deposit is taxable; it is added to your income for the year and is taxed at the applicable rate. So, if your income is in the 30 per cent tax bracket, the post-tax return from the fixed deposit is actually lower than what the PPF offers.

There's also the vital issue of safety. Banks are perceived as safe havens. Steer clear of little-known private and cooperative banks that offer great rates and stick to public sector banks and strong private entities.

Fixed deposits are suitable for retired taxpayers and those with an income of less than Rs 3 lakh a year. Retirees have another option in the Senior Citizen's Savings Scheme which offers 9 per cent.

Best Five-year FD Rates

BANK	INTEREST RATE (%)	POST-TAX YIELD (%)
ICICI Bank	9.0	7.85
Oriental Bank of Comm	9.0	7.85
Indian Overseas Bank	9.0	7.85
Bank of Baroda	8.5	7.32
Axis Bank	8.5	7.32

Post-tax yield for an investor in the highest tax bracket



ADVANTAGES

- Attractive returns of 9%.
- Widely available.
- Shortest lock-in (5 years) among debt options.



DRAWBACKS

- Income is taxable.
- Safety not assured.
- May not match returns from equity over 5 years.



BEST SUITED FOR

- Senior citizens who don't want to go in for long-term options; those in low tax bracket.



- ☐ Starting a new business
- ☐ Loan for a new home

NO MORE COMPROMISE.

**SMART INVEST
PENSION PLAN**

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